

Palantir Technologies Inc.

PLTR NYSE

Hold	\$175.14 ▲ 1.05%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$420.86B
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PLTR: Grinding Higher on Defense Spending Momentum

WHAT HAPPENED

- Stock is up ~1% today, extending a nice bounce from last week's \$165 dip — the pattern here is classic "buy the dip on AI/defense names." The Motley Fool piece about Karp (CEO) flagging PLTR's biggest opportunity beyond AI models is generating chatter — he's basically saying the ontology/data infrastructure moat matters more than the models themselves, which is actually a smart narrative shift as AI models get commoditized.
- The GuruFocus headline about PLTR and Nvidia "rethinking AI use over data risk" is worth watching — if enterprises are getting spooked about feeding sensitive data to AI, that actually favors PLTR's on-premise/secure deployment model over pure cloud AI plays.

WHY IT MATTERS

Here's what I'm thinking: PLTR at \$175 with a \$421B market cap is being priced as if the defense AI thesis is already a lock — and honestly, the current political backdrop supports that. The Trump administration's continued push on defense modernization and the ongoing FY2027 defense authorization discussions in Congress are structural tailwinds you can't ignore — PLTR is literally the software layer for how the Pentagon wants to fight future wars. BUT — and this matters — the insider selling cluster (Friedman, Buckley) tells you people inside the building think the stock is fully valued here. When insiders sell into strength and no one is buying, that's the market saying "great company, expensive stock." The takeaway: the business is winning but the entry point matters a lot at these levels.

POLICY & POLITICAL WATCH

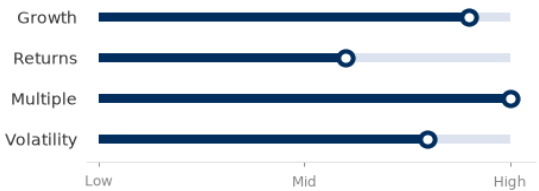
The big one to watch: the FY2027 National Defense Authorization Act (NDAA) is moving through Congress right now, and early markups include expanded funding for the Pentagon's CJADC2 program (Combined Joint All-Domain Command and Control) — that's essentially the Pentagon's AI-driven battle network, and Palantir is a primary contractor. If that funding survives conference committee, it's a direct tailwind. Separately, the administration's ongoing "Golden Dome" missile defense initiative and the border security tech buildout (ICE/CBP have expanded PLTR contracts) both depend on continued appropriations — any government shutdown drama in the coming weeks creates short-term volatility but doesn't change the multi-year trajectory.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$175.14
12M Price Target	\$185.00
Upside / (Downside)	+5.6%
Market Cap	\$420.86B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	282.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$158.00
6 Months	\$230.00	\$185.00	\$140.00
1 Year	\$270.00	\$200.00	\$120.00
2 Years	\$350.00	\$240.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) is ripping — likely tied to geopolitical tension and continued fossil fuel-friendly policy from the administration. Defense-adjacent tech is quietly strong as NDAA discussions progress.

COOLING OFF: Tech broadly is down 2% over 5 days — some profit-taking after a big AI run, plus rate uncertainty ahead of the Fed meeting is pressuring high-multiple names. Industrials weak too (-2.75% 5D) on tariff concerns.

ROTATION WATCH: Money looks like it's rotating out of high-beta tech into energy and defensives near-term, but PLTR is bucking the sector weakness — that relative strength tells you defense AI is being treated as its own category, not lumped in with pure software.

RELATED PLAY: If you like the defense AI thesis but PLTR is too rich, look at Booz Allen (BAH) or Leidos (LDOS) — they're the consulting/services layer that implements this stuff and trade at much more reasonable multiples.

WHO'S WINNING IN THIS SPACE?

- AXON (Axon Enterprise): Winning on the law enforcement AI/software angle — same "AI for government" thesis, more reasonable multiple
- ANET (Arista Networks): Data center networking beneficiary of the AI buildout — picks-and-shovels play that's less hyped than PLTR

PLTR CONTEXT: PLTR is leading its peer group — up ~1% while broader tech is down. That relative strength is bullish short-term but also means it's the "most crowded trade" in AI/defense, which cuts both ways when sentiment shifts.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great company, great political tailwinds, but the valuation makes me cautious about aggressive buying at \$175.

POSITION SIZE: 2-3% of portfolio — sized small because the stock can easily draw down 30% on a bad tape without the business changing at all.

ENTRY POINTS: I'd rather wait for pullbacks into the \$150-160 zone (which we saw days ago and could see again on any macro wobble). Chasing at \$175+ has poor risk/reward.

TIME HORIZON: 12-24 months, with the key catalysts being NDAA passage (late 2026), Q3/Q4 earnings, and commercial revenue re-acceleration.

WHEN TO BAIL: If revenue growth drops below 25%, if a major government contract gets clawed back, or if insider selling accelerates meaningfully beyond what we're seeing now.

HEDGING: Simplest hedge — take profits on the way up (trim 25% of position every 15% higher). If you want protection, buy 6-month put options ~15% out of the money as insurance against a multiple-compression event.